View Instrument Details

Instrument No	12717687.20
Status	Registered
Date & Time Lodged	07 June 2023 14:45
Lodged By	Brown, Rachel Louise
Instrument Type	Mortgage

Affected Records of Title	Land District
421910	Taranaki
TN175/43	Taranaki
TN175/44	Taranaki
TNH4/190	Taranaki
TNJ2/204	Taranaki
TNJ2/714	Taranaki
451953	Taranaki
TN119/223	Taranaki
TN227/30	Taranaki
TN227/31	Taranaki
TN227/32	Taranaki
TNA3/681	Taranaki
TNB4/1024	Taranaki
TNB4/1080	Taranaki
TNB4/1081	Taranaki
TNB4/1082	Taranaki
TNB4/1083	Taranaki
TNE3/648	Taranaki
TNE3/649	Taranaki
TNE3/650	Taranaki
TNE4/125	Taranaki
TNF3/564	Taranaki
TNF3/565	Taranaki
TNF3/566	Taranaki
TNF3/567	Taranaki
TNF3/568	Taranaki
TNH1/1356	Taranaki

Mortgagors

Henry Raymond Matthews, Melody June Wallace and John Cain

Mortgagees	Share
Vitol Asia PTE. Ltd.	

Mortgage Details

Memorandum Number	2018/4346
Priority Amount $	137,500,000.00 plus interest and costs

This Mortgage incorporates the provisions of the above memorandum registered pursuant to Section 209 of the Land Transfer Act 2017

Annexure Schedule: Contains 25 Pages.

© Copyright: Land Information New Zealand

Mortgagor Certifications

I certify that I have the authority to act for the Mortgagor and that the party has the legal capacity to authorise me to lodge this instrument ☑

I certify that I have taken reasonable steps to confirm the identity of the person who gave me authority to lodge this instrument ☑

I certify that any statutory provisions specified by the Registrar for this class of instrument have been complied with or do not apply ☑

I certify that I hold evidence showing the truth of the certifications I have given and will retain that evidence for the prescribed period ☑

Signature

Signed by Lester Barry Houghton as Mortgagor Representative on 07/06/2023 02:24 PM

Mortgagee Certifications

I certify that I have the authority to act for the Mortgagee and that the party has the legal capacity to authorise me to lodge this instrument ☑

I certify that I have taken reasonable steps to confirm the identity of the person who gave me authority to lodge this instrument ☑

I certify that any statutory provisions specified by the Registrar for this class of instrument have been complied with or do not apply ☑

I certify that I hold evidence showing the truth of the certifications I have given and will retain that evidence for the prescribed period ☑

Signature

Signed by Daniel Alexander Williams as Mortgagee Representative on 06/06/2023 06:53 PM

***** End of Report *****

Annexure schedule

The terms of Memorandum Number 2018/4346 are hereby deleted in their entirety and replaced with the following terms.

Mortgage

1. Defined terms and interpretation

1.1 **Defined terms from other document**: In this document, unless otherwise defined herein or the context requires otherwise, capitalised terms have the meaning given to them in the Afforestation Deed (as defined below).

1.2 **Other defined terms**: In this document:

Afforestation Deed means the 'Afforestation deed' dated on or about the date of this mortgage between NFL and the Mortgagee.

Attorney means any attorney (including a Receiver) appointed under this document, and includes any agent or delegates.

Collateral Security means each agreement at any time executed of delivered and intended to guarantee or secure the Mortgagor's obligations under the Transaction Documents (whether or not it guarantees or secured other obligations as well).

Event of Default has the meaning given to it in the Afforestation Deed.

Improvements includes all buildings, fences, structures, fixtures and fittings on the Real Property, whether built or acquired before or after the date of this document.

Land Transfer Act means the Land Transfer Act 2017.

Liquidation means liquidation, winding up, dissolution, receivership, administration, statutory management, removal from the register of companies, or the entering into of a compromise, deed of arrangement, assignment for the benefit of creditors or other arrangement or compromise with creditors, or bankruptcy.

Mortgage means the mortgage of the Mortgaged Property granted by the Mortgagor in favour of the Mortgagee which has been registered with Land Information New Zealand Limited.

Mortgaged Property means:

(a) the Mortgagor's estate or interest from time to time in any Real Property and where the context requires, the Real Property itself, together with the benefit of any easements, profit à prendre, forestry right, paths, rights of way, mines, quarries, water, trees, timber and other benefits on or used with the Real Property;

(b) the Mortgagor's estate or interest from time to time in any present or future Improvements;

(c) the Mortgagor's estate or interest from time to time in any present or future lease of the Real Property or any part of it, together with any extension or renewal of that lease, and any agreement to enter into a new lease of the same property;

(d) any other property deemed by this document to form part of the Mortgaged Property; and

(e) any certificate, registration, title or other evidence of ownership of, or rights to, anything described in paragraphs (a) to (d) above,

and a reference to the **Mortgaged Property** means any part of it.

Mortgagor means Henry Raymond Matthews, Melody June Wallace and John Cain.

Mortgagee means Vitol Asia PTE. Ltd. and its successors, assigns and transferees.

NFL means Nirvana Farms Limited (company number 5690029).

PLA means the Property Law Act 2007.

Power means any right, power, authority, discretion, remedy or privilege which is conferred on the Mortgagee under any Transaction Document or by law in relation to any Transaction Document.

Principal Debt means all indebtedness (of whatever nature and whether on account of principal moneys, interest, fees or charges, tax or otherwise, and, to avoid doubt, including indebtedness assigned to the Mortgagee by a third party) due, owing, payable or remaining unpaid by NFL (whether alone or with any other person and in any capacity) to the Mortgagee (whether alone or with any other person and in any capacity) and includes any part of it.

Principal Obligations means all present and future obligations which NFL (whether alone or with any other person and in any capacity) has or owes to the Mortgagee (whether alone or with any other person and in any capacity) under or in connection with a Transaction Document, other than obligations to pay or deliver any Principal Debt.

Real Property means all the Mortgagor's present and future estates and interests in freehold and leasehold land, and in all buildings, structures and fixtures from time to time on that land.

Receiver means a receiver or receiver and manager appointed under this document.

Security Interest means:

(a) a mortgage, pledge, charge, lien, assignment, hypothecation, encumbrance, deferred purchase, title retention, finance lease, contractual right of set-off, flawed asset arrangement, sale-and-repurchase or sale-and-leaseback arrangement, and any other arrangement of any kind that in substance secures payment or the performance of an obligation without regard to the form of the transaction and the identity of the parties; and

(b) a security interest as defined in section 17 of the PPSA.

Secured Money means all indebtedness (of whatever nature and whether on account of principal moneys, interest, fees or charges, tax or otherwise, and, to avoid doubt, including indebtedness assigned to the Mortgagee by a third party) due, owing, payable or remaining unpaid by the Mortgagor (whether alone or with any other person and in any capacity) to the Mortgagee (whether alone or with any other person and in any capacity) and includes any part of it.

Secured Obligations means all present and future obligations which the Mortgagor (whether alone or with any other person and in any capacity) has or owes to the

Mortgagee (whether alone or with any other person and in any capacity), under or in connection with a Transaction Document, other than obligations to pay or deliver any Secured Money.

Title Documents means each certificate, confirmation, grant, assurance, conveyance, deed and other document of title or evidencing title to, or rights to acquire, possess, use or dispose of, any Mortgaged Property. It includes any lease, will, probate or abstract of title.

Trust means the Makowhai Trust.

Trust Deed means the deed of trust dated 5 August 2002 constituting the Trust, together with a deed of retirement and appointment of new trustee dated 13 July 2011.

1.3 **Interpretation**

(a) The provisions relating to interpretation of the Afforestation Deed are incorporated in, and apply to, this document as if set out in full with any necessary amendments.

(b) The terms **mortgage** and **land** have the meaning given to them in the Land Transfer Act.

1.4 **Third Party Mortgage**

This is a Third Party Mortgage for the purposes of the Afforestation Deed.

2. Mortgage

2.1 **Creation**: The Mortgagor, as legal and beneficial owner of the Mortgaged Property, acknowledges and agrees that it has granted a mortgage over the Mortgaged Property to the Mortgagee as security for payment of the Secured Money and performance of the Secured Obligations.

2.2 **Ranking**: The Mortgage ranks in priority ahead of all other Security Interests over the Mortgaged Property, other than any Permitted Security Interests.

2.3 **Priority Sum**: The maximum amount inserted next to the words "Priority Sum" in the mortgage instrument is a statement made for the benefit of the Mortgagee and for the purposes of section 92 of the PLA. It does not mean that:

(a) the Mortgagee will provide financial accommodation to the Mortgagor up to the priority sum; or

(b) the priority sum is the total amount that this Mortgage is capable of securing.

3. Representations and warranties

3.1 **General representations:** The Mortgagor represents and warrants that:

(a) **Binding obligations**: the obligations expressed to be assumed by it in each Transaction Document to which it is a party are (subject to any necessary registration requirements, equitable principles and laws generally affecting creditors' rights) legal, valid, binding and enforceable obligations;

(b) **Non-conflict with other obligations**: the entry into and performance by it of, and the transactions contemplated by, the Transaction Documents to which it is a

party and the granting of any Security Interest under those Transaction Documents, do not and will not conflict with:

(i) any law or regulation applicable to it;

(ii) the provisions of the Trust Deed; or

(iii) any agreement or instrument binding upon it or any of its assets in any material respect;

(c) **Power and authority**: it has the power to enter into, perform and deliver, and has taken all necessary action to authorise its entry into, performance and delivery of, Transaction Documents to which it is a party and the transactions contemplated under those Transaction Documents;

(d) **Authorisations**: all authorisations required or desirable:

(i) to enable it lawfully to enter into, exercise its rights and comply with its obligations in Transaction Documents to which it is party;

(ii) to make the Transaction Documents to which it is party admissible in evidence; and

(iii) for it to carry on its business, have been obtained or effected and are in full force and effect;

(e) **No default**: it is not in default under any agreement relating to its indebtedness, or under any other agreement to which it is party or which is binding on it or any of its property to an extent or in a manner which might have an adverse effect on it in any material way and no event has occurred or circumstance exists which with the giving of notice or the expiration of time, the making of a determination or the fulfilment of any other requirement (or any combination of any of these things) would constitute such a default;

(f) **No proceedings**: no legal proceedings, arbitration, action or administrative proceeding of, or before, any court or governmental agency has commenced or to the best of its knowledge and belief is pending or threatened which, if adversely determined, is likely to have an adverse effect on it in any material way;

(g) **Solvent**: it is solvent and is able to pay its debts as they become due; and

(h) **Disclosure and no misleading information**: all information provided by it to the Mortgagee in writing at any time was true and accurate and not misleading when given, by reference to the circumstances then existing and remains true and accurate in all material respects and not misleading in any material respect since the date the information was provided to the Mortgagee.

3.2 **Trust Representations**: To the extent that the Mortgagor is entering to the Mortgage as trustee of the Trust (including, without limitation, if the Afforestation Deed specifies that the Mortgagor enters into the Mortgage as trustee of the Trust), each party giving the Mortgage represents and warrants, in its personal capacity (but subject to any limitation of liability accorded to it) and as trustee of the Trust, that:

(a) no amendments have been made to the Trust Deed that have not been disclosed in writing to, and accepted by, the Mortgagee;

(b) it has been validly appointed as trustee of, and the parties giving this Mortgage constitute all of the trustees of, the Trust;

(c) it is entitled to be indemnified out of the trust assets in full and the Mortgagee is entitled to be subrogated to that right (in each case without restriction, limitation, set-off or counterclaim) in respect of its obligations under the Transaction Documents;

(d) it is not in default under the Trust Deed;

(e) the entry into the Transaction Documents to which it is a party is in the interests of the beneficiaries of the Trust; and

(f) none of the trust assets have been mixed with other property.

3.3 **Representations relating to the Mortgaged Property**: The Mortgagor represents and warrants to the Mortgagee that, unless the Mortgagee has otherwise consented in writing:

(a) **Ownership of Mortgaged Property**: it is the sole legal and beneficial owner of the Mortgaged Property, and it will be the sole legal and beneficial owner of any property or asset it acquires as Mortgaged Property;

(b) **Indefeasible title**: it has an absolute and indefeasible title to the Mortgaged Property, and it will have an absolute and indefeasible title to any interest in land it acquires as Mortgaged Property;

(c) **Security interests**: no Security Interest exists over or affects any of the Mortgaged Property other than a Permitted Security Interest;

(d) **Insurance**: it maintains all insurance required by the Mortgagee over the Mortgaged Property (including as required under the Transaction Documents), and the Mortgagee's interest as mortgagee is noted on each insurance policy;

(e) **Easements and covenants**: it has performed (and will continue to perform) all of the covenants or obligations contained in any interests registered on the Mortgaged Property and has not received notice of any unremedied breach of such registered interests;

(f) **Contaminants**: to the best of it's knowledge (having made due enquiry), no person has used, disposed of, generated, stored, transported, dumped, released, deposited, buried or emitted any hazardous substances at, on, from or under the Mortgaged Property;

(g) **Notice**: it has not received any notice or other communication which still has effect or is unresolved from any person, regulatory body, court or organisation which requires any remedial work to the Mortgaged Property, any part of the Mortgaged Property or to clear and remove from the Mortgaged Property or any part of the Mortgaged Property any hazardous substance;

(h) **Public works**: no part of the Mortgaged Property is subject to or affected by any planning permission or development permit or any proposals for road widening or subject to any order or resolution for its compulsory acquisition under the Public Works Act 1981;

(i) **Presence of dangerous materials**: since the date of acquisition of the Mortgaged Property, there has been no solid, liquid or gaseous materials present at the surface or subsurface levels of any of the Mortgaged Property or present in the air or water on, above, under or immediately surrounding any of the

Mortgaged Property which is hazardous to human health or the environment, or that would constitute a nuisance or violation of any environmental law, regulation, rule or ordinance of any governmental authority, nor is there any condition on any of the Mortgaged Property including but not limited to underground tanks and associated piping which may require monitoring, closure, removal, clean up or other measures pursuant to any law, ordinance, rule regulation or determination of any governmental authority. To the best of its knowledge (having made due enquiry), this representation is accurate in respect of the period before its acquisition of the Mortgaged Property; and

(j) **Archaeological and wahi tapu**: no person has breached or will breach any requirement, order, condition or matter relating to the preservation and conservation of wahi tapu and historical and archaeological sites in or about the Mortgaged Property and the Mortgagor has fully disclosed to the Mortgagee all material matters relating to the location of and obligations relating to such sites.

3.4 **Repetition**: Each representation and warranty given in this clause 3 is deemed to be repeated for so long as the Secured Money is outstanding by refence to the facts and circumstances existing at the relevant time.

4. Undertakings

4.1 **Pay Secured Money**: The Mortgagor agrees that it will pay or procure payment of the Secured Money to the Mortgagee:

(a) at the times and on the terms stipulated in the Transaction Documents; or

(b) if the Transaction Documents do not set out time and terms, on demand and otherwise as directed by the Mortgagee.

4.2 **Comply with Secured Obligations**: The Mortgagor agrees that it will comply with or procure compliance with the Secured Obligations.

4.3 **Further assurances**: The Mortgagor shall promptly do (and procure that anyone else who has an interest in the Mortgaged Property or who claims under or in trust for the Mortgagor does), at its own expense anything the Mortgagee reasonably requests:

(a) perfect or improve the Mortgagor's title to, or other right or interest in, all or any part of the Mortgaged Property;

(b) perfect, preserve, maintain, protect or otherwise give full effect to the Security Interest created under this document and the priority of that Security Interest required by the Mortgagee:

(c) secure more satisfactorily to the Mortgagee payment or delivery of the Secured Money and compliance with the Secured Obligations (including the granting of further specific security in the form required by the Mortgagee);

(d) facilitate the exercise of any right by the Mortgagee or any Receiver at any time or the realisation of the Mortgaged Property following the occurrence of an Event of Default;

(e) to aid the exercise of any Power in connection with any such Security Interest; and

(f) otherwise enable the Mortgagee to obtain the full benefit of the provisions of this document and any other Transaction Document.

This may include:

(i) granting a legal or statutory mortgage over all or any part of the Real Property;

(ii) paying any taxes on and registering the Mortgage with the priority required by the Mortgagee;

(iii) the exercise of all rights of inspection, requesting all records and taking all necessary copies, which the Mortgagor is entitled to exercise, request or take; and

(iv) executing and delivering to the Mortgagee signed irrevocable authority and instruction forms in relation to the Mortgaged Property, undated and blank as to transferee and consideration, together with written acknowledgement that the Mortgagee may complete these details at any time in the future pursuant to the terms of this document.

4.4 **Registering the Mortgage**

(a) If required to do so by the Mortgagee, the Mortgagor must promptly do or cause to be done all things necessary to cause this document to be registered under the Land Transfer Act.

(b) If this document cannot be registered because it is not in registrable form, the Mortgagor must do or cause to be done all things necessary to render this document in registrable form. If so required by the Mortgagee, the Mortgagor must grant to the Mortgagee another Security Interest over the Mortgaged Property in registrable form.

4.5 **General undertakings**: The Mortgagor shall:

(a) **Compliance with laws**: comply in all respects with all laws to which it may be subject, if failure to so comply would, or would be likely to, materially impair its ability to perform its obligations under the Transaction Documents;

(b) **Authorisations**: obtain, comply with and do all that is necessary to maintain in full force and effect, any Authorisation required to perform its obligations under the Transaction Documents and to ensure the legality, validity, enforceability or admissibility in evidence in its jurisdiction of incorporation of any Transaction Document and any Authorisation required for it to carry on its business;

(c) **Disposals**: not enter into a single transaction or a series of Transactions (whether related or not) and whether voluntary or involuntary to dispose of any of the Mortgaged Property other than pursuant to a Permitted Disposal;

(d) **Security Interest**: not create or permit to subsist any Security Interest over any of the Mortgaged Property other than a Permitted Security Interest; and

(e) **Forestry right**: not grant or transfer a forestry right with respect to the Mortgaged Property without the Mortgagee's prior written consent.

4.6 **Undertakings in relation to the Mortgaged Property**: The Mortgagor shall:

(a) **Pay Outgoings**: pay all rates, taxes and charges from time to time payable in respect of the Mortgaged Property by the due date and, on request of the Mortgagee, provide the Mortgagee with a receipt for each of these payments and access to the Mortgagor's accounts and other records relating to the Mortgaged Property;

(b) **Access**: provide to the Mortgagee, and ensure that each person in possession of any of the Mortgaged Property will provide to the Mortgagee, full and unfettered access at all times to the Mortgaged Property;

(c) **Maintenance**: maintain the Mortgaged Property in good repair and condition and, on request of the Mortgagee, remedy every defect in its repair or condition;

(d) **Compliance**: ensure compliance with:

(i) all laws and requirements (statutory or otherwise) and consents applicable to any of the Mortgaged Property or its use (including, without limitation, compliance with any requirements under the Building Act 2004); and

(ii) the provisions of any insurances required to be maintained in accordance with this document, including all warranties expressed or implied in them;

(e) **Records**: maintain proper records and books of account in respect of the Mortgaged Property, its management, maintenance, use and income, and provide to the Mortgagee (as and when it requires) copies of those records and books for inspection;

(f) **Notice to Mortgagee**: notify the Mortgagee of any:

(i) claim or dispute which might arise in respect of or in connection with any Mortgaged Property; or

(ii) repair, construction or maintenance work being required in respect of any of the Mortgaged Property or any occurrence which may result in this being required,

in each case, promptly upon becoming aware of it;

(g) **Information**: furnish to the Mortgagee promptly:

(i) any information concerning the Mortgaged Property (including, without limitation, any building consents, certificates, schedules, annual warrants of fitness or other information provided in connection with or required under the Building Act 2004); and

(ii) copies of any agreements or documents relating to any Mortgaged Property as the Mortgagee may from time to time request;

(h) **Consents**: do everything necessary to maintain any consents or rights relating to the Mortgaged Property or its use that are, in the Mortgagee's opinion, necessary or desirable;

(i) **Zoning**: notify the Mortgagee in writing immediately on receiving notification of any proposed change of zoning or change of land use controls in respect of any of the Mortgaged Property and, if required by the Mortgagee, take all reasonable steps to oppose any re-zoning or change of land use controls which would or might be expected to reduce the value of any of the Mortgaged Property;

(j) **Farm land**: if the Mortgaged Property (or any part thereof) is used for an agricultural, pastoral or horticultural purpose, the Mortgagor shall:

(i) manage the Mortgaged Property (or any such relevant part) in accordance with accepted principles of farm management and Good Industry Practice and to the standard of a Reasonable and Prudent Operator;

(ii) take all reasonable steps to control disease; and

(iii) mot make any material change to the type of farming conducted on the Mortgaged Property without the Mortgagee's prior written consent; and

(k) **Forestry rights**: If the Mortgaged Property is or includes a forestry right, the Mortgagor shall:

(i) undertake all activities on the Mortgaged Property (and maintain records of those activities):

(A) which are necessary or desirable to maintain and preserve the health and value of the trees; and

(B) in accordance with Good Industry Practice; and

(ii) carry our regular inspections.

5. Insurance

5.1 **Insurance undertakings**: Unless otherwise agreed in writing by the Mortgagee, the Mortgagor shall (such to be satisfactory to the Mortgagee in all respects, acting reasonably):

(a) keep insured with reputable insurers all buildings and insurable improvements (inducing any trees) on the Mortgaged Property against loss or damage by fire and other risks normally insured against, by persons carrying on the same class of business as that carried on by it (and any other risks for which insurance is available on commercially reasonable terms that the Mortgagee may from time to time reasonably require it to insure against), and natural disaster as defined in the Earthquake Commission Act 1993, for their replacement value (meaning the total cost of entirely rebuilding, reinstating or replacing that property in the event of it being completely destroyed, together with architects' and surveyors' fees) or such lower value as the Mortgagor may agree in writing;

(b) promptly pay all premiums and do all other things necessary to maintain the insurances required by this clause; and

(c) ensure that the Mortgagee's interest as mortgagee is noted on each policy.

5.2 **Application of insurance proceeds**: Money recoverable under any of the insurances required by this clause is to be applied at the option of the Mortgagee either:

(a) in or towards rebuilding or repairing any building or other improvements (including replanting of any trees) on the Mortgaged Property; or

(b) in reduction of the Secured Money even though those moneys may not have otherwise fallen due.

Any money released to, or received by, the Mortgagor is to be held by the Mortgagor on trust for the Mortgagee until applied in the manner required by this clause 5.

6. Guarantee and indemnity

6.1 **Consideration**: The Mortgagor enters into this document and each other Transaction Document to which it is party for valuable consideration which includes the Mortgagee entering into the Transaction Documents at its request. Its obligations are unconditional and irrevocable.

6.2 **Guarantee and indemnity**: The Mortgagor irrevocably and unconditionally, jointly and severally:

(a) guarantees to the Mortgagee punctual performance by NFL of all of NFL's obligations under or in connection with the Transaction Documents including payment of the Principal Debt and performance of the Principal Obligations;

(b) undertakes with the Mortgagee that whenever NFL does not pay any amount when due under or in connection with any Transaction Document, it shall immediately on demand pay that amount as if it was the principal debtor; and

(c) agrees with the Mortgagee that if any obligation guaranteed by it is or becomes unenforceable, invalid or illegal, it will, as an independent and primary obligation, indemnify the Mortgagee immediately on demand against any cost, loss or liability it incurs as a result of NFL not paying any amount which would, but for such unenforceability, invalidity or illegality, have been payable by it under or in connection with any Transaction Document on the date when it would have been due. The amount payable by the Mortgagor under this indemnity will not exceed the amount it would have had to pay under this clause 6 if the amount claimed had been recoverable on the basis of a guarantee.

6.3 **Continuing guarantee**: This guarantee is a continuing guarantee and will extend to the ultimate balance of sums payable by NFL under the Transaction Documents, regardless of any intermediate payment or discharge in whole or in part.

6.4 **Reinstatement**: If any discharge, release or arrangement (whether in respect of the obligations of the Mortgagor or any Security Interest for those obligations or otherwise) is made by the Mortgagee in whole or in part on the basis of any payment, Security Interest or other disposition which is avoided or must be restored in Liquidation or otherwise,

without limitation, then the liability of the Mortgagor under this clause **6** will continue or be reinstated as if the discharge, release or arrangement had not occurred.

6.5 **Waiver of defences**: The obligations of the Mortgagor under this clause **6** will not be affected by an act, omission, matter or thing which, but for this clause **6**, would reduce, release or prejudice any of its obligations under this clause **6** (without limitation and whether or not known to it or the Mortgagee) including:

(a) any time, waiver or consent granted to, or composition with, the Mortgagor or other person;

(b) the release of the Mortgagor or any other person under the terms of any composition or arrangement with any creditor of the Mortgagor;

(c) the taking, variation, compromise, exchange, renewal or release of, or refusal or neglect to perfect, take up or enforce, any rights against, or security over assets of, the Mortgagor or other person or any non-presentation or non-observance of any formality or other requirement in respect of any instrument or any failure to realise the full value of any Security Interest;

(d) any incapacity or lack of power, authority or legal personality of or dissolution or change in the members or status of the Mortgagor or any other person;

(e) any amendment, novation, supplement, extension, restatement (however fundamental and whether or not more onerous) or replacement of a Transaction Document or any other document or Security Interest including, without limitation, any change in the purpose of, any extension of or increase in any facility or financing commitment or the addition of any new facility or financing commitment under any Transaction Document or other document or Security Interest;

(f) any unenforceability, illegality or invalidity of any obligation of any person under any Transaction Document or any other document or Security Interest; or

(g) any Insolvency Event in respect of the Mortgagor.

6.6 **Obligor intent**: Without prejudice to the generality of clause 6.7, the Mortgagor expressly confirms that it intends that this guarantee shall extend from time to time to any (however fundamental) variation, increase, extension or addition of or to any of the Transaction Documents and/or any facility or amount made available under any of the Transaction Documents.

6.7 **Immediate recourse**: The Mortgagor waives any right it may have of first requiring the Mortgagee to proceed against or enforce any other rights or Security Interest or claim payment from any person before claiming from the Mortgagor under this clause 6. This

waiver applies irrespective of any law or any provision of a Transaction Document to the contrary.

6.8 **Appropriations**: Until all amounts which may be or become payable by NFL under or in connection with the Transaction Documents have been irrevocably paid in full, the Mortgagee may:

(a) refrain from applying or enforcing any other moneys, security or rights held or received by the Mortgagee in respect of those amounts, or apply and enforce the same in such manner and order as it sees fit (whether against those amounts or otherwise) and the Mortgagor shall not be entitled to the benefit of the same; and

(b) hold in an interest-bearing suspense account any moneys received from the Mortgagor or on account of the Mortgagor's liability under this clause 6.

6.9 **Deferral of Mortgagor's rights**: Until all amounts which may be or become payable by NFL under or in connection with the Transaction Documents have been irrevocably paid in full and unless the Mortgagee otherwise directs, the Mortgagor will not exercise any rights which it may have by reason of performance by it of its obligations under the Transaction Documents or by reason of any amount being payable, or liability arising, under this clause 6:

(a) to be indemnified by NFL;

(b) to claim any contribution from NFL or NFL's obligations under the Transaction Documents;

(c) to take the benefit (in whole or in part and whether by way of subrogation or otherwise) of any rights of the Mortgagee under the Transaction Documents or of any other guarantee or Security Interest taken pursuant to, or in connection with, the Transaction Documents by the Mortgagee;

(d) to bring legal or other proceedings for an order requiring NFL to make any payment, or perform any obligation, in respect of which NFL has given a guarantee, undertaking or indemnity;

(e) to exercise any right of set-off against NFL; and/or

(f) to claim or prove as a creditor of NFL in competition with the Mortgagee.

If the Mortgagor receives any benefit, payment or distribution in relation to such rights it shall hold that benefit, payment or distribution to the extent necessary to enable all amounts which may be or become payable to the Mortgagee by the Mortgagor under or in connection with the Transaction Documents to be repaid in full on trust for the Mortgagee and shall promptly pay or transfer the same to the mortgagee or as the Mortgagee may direct.

6.10 **Additional security**: This guarantee is in addition to and is not in any way prejudiced by any other guarantee or Security Interest now or subsequently held by the Mortgagee.

7. Default

To the extent permitted by law, if an Event of Default occurs and is continuing:

(a) **Secured Money**: the Mortgagee may declare all or any part of the Secured Money to be immediately due and payable, whereupon the same shall become so due and payable;

(b) **Deemed Set-off and Combination**: without prejudice to any subsequent exercise by the Mortgagee of its rights of set-off or combination, all of the Mortgagee's rights of set-off or combination against the Mortgagor will be deemed to have been exercised (whether or not any book entries have actually been passed); and

(c) **Enforcement**: in addition to the exercise of any other rights the Mortgagee may have at law or under any other Transaction Document, the Mortgagee may:

(i) do all of the things and exercise all of the rights set out in clause 8; and

(ii) appoint any person or persons to be a Receiver of all or any part of the Mortgaged Property (including but not limited to receiver of rent in respect of the Mortgaged Property).

8. Enforcement

Pursuant to clause 7(c), if an Event of Default occurs and is continuing, the Mortgagee may, in the Mortgagor's name or in its own name, do any thing and exercise any right which the Mortgagor could do in relation to the Mortgaged Property including the power to:

(a) **Possession**: take immediate possession of, demand, recover, collect or get in all or any of the Mortgaged Property;

(b) **Money owing**: demand, collect, recover, compromise and give a good discharge for any and all money and claims for money under, or arising out of, or in connection with the Mortgaged Property;

(c) **Complete actions**: do any thing which the Mortgagor may be obliged to do or ought to do under this document and which the Mortgagor fails to do;

(d) **Carry on business**: carry on or manage or concur in the carrying on or management of any business of the Mortgagor;

(e) **Dealing with Mortgaged Property**: insure, repair, improve, replace and develop the Mortgaged Property;

(f) **Appoint agents**: appoint, employ and discharge managers, officers, employees, advisers, contractors or agents for any purpose and on such terms (including as to remuneration) as may be considered necessary or expedient;

(g) **Disposals**: sell, dispose of or concur in the sale or disposal of all or any of the Mortgaged Property or any interest therein in such manner and generally on such terms and conditions (including as to price, any security and method of payment) as the Mortgagee shall think fit;

(h) **Receipts for rents and profits**: receive and give receipts for the rents and profits for such Mortgaged Property until it is sold under power of sale conferred by this clause or the Mortgagee gives written notice that the Secured Money has been fully paid;

(i) **Severance of fixtures**: sever any fixtures and sell the same separately;

(j) **Acquisition of property**: acquire any property for inclusion in the Mortgaged Property on such terms and conditions as may be considered necessary or expedient;

(k) **Leases**: lease, let or bail (whether or not in possession) all or any of the Mortgaged Property on such terms and conditions (including as to term and rent, and with or without a compulsory or optional purchasing clause) as the Mortgagee shall think fit;

(l) **Actions**: bring, take, defend, compromise, arrange, submit to arbitration, mediation or conciliation and discontinue or settle any accounts, claims, proceedings, questions or disputes which may arise in connection with the Mortgaged Property, the business of the Mortgagor or its premises or in any way relating to this document or the Secured Obligations and for any such purpose, use the name of the Mortgagor;

(m) **Receipt**: give a receipt for money paid to or for any property received by the Mortgagee;

(n) **Lending/borrowing of money**: advance money to, or raise money from, any person with or without security over or affecting the Mortgaged Property;

(o) **Execute agreements**: execute (or cause or authorise to be executed) in the name of the Mortgagor or otherwise all agreements (including, for the avoidance of doubt, any assignments, transfers, registrations, conveyances, notices, security interests and guarantees) in relation to all or any of the Mortgagee's rights under this document or at law which the Mortgagee may consider necessary or expedient;

(p) **Cancellation of contracts**: (with full power to buy in) cancel, rescind or vary any agreement, right or obligation;

(q) **Remuneration**: retain out of any moneys received by the Mortgagee a reasonable sum for remuneration for its services as Mortgagee;

(r) **Call up capital**: subject to the provisions of any issue documentation, call up all or any portion of the unpaid capital of the Mortgagor (if any) or enforce the payment of any calls previously made and unpaid;

(s) **Notice**: give notice of the existence of this document to any third party;

(t) **Subdivide, consolidate, convert**: subdivide, consolidate, convert or change the nature of the title or tenure of the Mortgaged Property;

(u) **Grant easements**: grant, create, release or vary easements, profits a prendre covenants and restrictions over the Mortgaged Property;

(v) **Building and planning approvals**: apply for building and planning permits or approvals or any other statutory approvals, permits or registrations as the Mortgagee considers necessary in relation to the Mortgaged Property;

(w) **Amend or rectify title**: apply to the relevant authority to amend or rectify a Title Document and do everything necessary to effect the amendment or rectification;

(x) **Authorisations**: apply for any consent which is necessary or desirable in connection with the exercise of a Power;

(y) **Take all steps**: take such steps and do such things as may be necessary to protect and preserve the interests of the Mortgagor under the Mortgaged Property and the interests of the Mortgagee;

(z) **Incidental**: do or omit to do any thing incidental to its rights under this document or at law; and

(aa) **Delegate**: delegate all or any of its rights under this document or at law.

9. Powers generally

In exercising any of the rights conferred upon the Mortgagee under clause 8, the Mortgagee may generally do or cause to be done such acts and things in relation to the Mortgaged Property as the Mortgagee might do or cause to be done if the Mortgagee had absolute ownership thereof.

10. Discharge or acquire prior Security Interest

At any time while an Event of Default is continuing, the Mortgagee may do any one or more of the following:

(a) purchase a debt or liability secured by a prior Security Interest in respect of any Mortgaged Property (including a debt secured by a Permitted Security Interest);

(b) pay the amount required to discharge or satisfy that debt or liability; and

(c) take a transfer or assignment of that Security Interest and any Collateral Security, document or right ancillary or collateral to it.

If the Mortgagee exercises its rights in this clause:

(d) the Mortgagor is indebted to the Mortgagee for the same amount paid by the Mortgagee or the amount of the debt or liability acquired (whichever is higher) and that amount is immediately payable to the Mortgagee and forms part of the Secured Money;

(e) the Mortgagee may rely on a written notice from the holder of a prior Security Interest (**Prior Mortgagee**), or on an ancillary or collateral document, as to the amount and property secured by that prior Security Interest;

(f) the Prior Mortgagee need not enquire whether any amount is owing under a Transaction Document; and

(g) the Mortgagor irrevocably directs any such Prior Mortgagee to give the Mortgagee any information it requires in connection with the prior Security Interest.

11. Mortgagor's chattels

At any time while an Event of Default is continuing, the Mortgagee may do any one or more of the following:

(a) remove from the Mortgaged Property all chattels not encumbered by the Mortgage and store those chattels in the name and at the cost of the Mortgagor with any person (including the Mortgagee) for any period. The Mortgagee must notify the Mortgagor of the name and address of the place where the chattels are stored;

(b) unless the Mortgagor collects the chattels and pays for their storage within 10 Business Days of being notified of their removal (in which case the Mortgagee will treat them as having been abandoned), sell the chattels for such price and on such terms as the Mortgagee thinks fit or otherwise dispose of them in any way it decides;

(c) set off the proceeds of any sale of the chattels under this clause against the Secured Money;

(d) use or permit the use of the chattels on such terms as it thinks fit in conjunction with the exercise of any Power and replace or repair any of the chattels which are destroyed, lost, stolen or unfit for use; and

(e) pay any amounts due under any leasing or hire purchase agreements to which the chattels are subject from the income received from the Mortgaged Property or any business conducted on the Mortgaged Property.

The Mortgagor agrees that the Mortgagee will not be liable for conversion of, or for any loss or damage to, any chattel disposed of under this clause.

12. Co-operation in exercise of power of sale

If the Mortgagee or a Receiver wishes to exercise a right to sell any Mortgaged Property, the Mortgagor must do or cause to be done all things necessary to enable an expeditious sale and transfer to the purchaser for the value as estimated by the Mortgagee, in the manner and on terms the Mortgagee thinks fit.

13. Receiver

13.1 **Appointment of Receiver**: Pursuant to clause 7(c), the Mortgagee may (in addition to and without prejudice to any of its other rights), at any time, appoint in writing (and remove, replace and fix the remuneration and other terms of appointment of) one or more Receivers (jointly and severally) in respect of any of the Mortgaged Property on terms considered necessary or expedient by the Mortgagee if:

(a) an Event of Default occurs and is continuing; or

(b) the Mortgagor so requests.

The Mortgagee may do this whether or not it has exercised any other right and even if dissolution of the Mortgagor has already commenced.

13.2 **Additional rights**: At any time on or following the appointment of any Receiver, the Mortgagee may:

(a) determine, or vary, the terms of appointment of the Receiver;

(b) require any Receiver to give it a Security Interest or an indemnity for the due performance of the Receiver's duties;

(c) remove any Receiver; or

(d) appoint another Receiver in addition to, or in place of, any Receiver.

13.3 **Remuneration**: The Mortgagee may, subject to the Receiverships Act 1993, determine or vary the remuneration of any Receiver. Such remuneration:

(a) may be (or may include) a commission;

(b) is payable by the Mortgagor;

(c) will form part of the Secured Money; and

(d) will be secured by the Security Interest created under this document.

13.4 **Receiver agent of Mortgagor**: A Receiver is the agent of the Mortgagor except where (but only to the extent that) the Receiver is required by notice from the Mortgagee to act

as agent of the Mortgagee. The Mortgagee is not responsible for a Receiver's actions, including the misconduct, negligence or default of a Receiver.

13.5 **Receiver's rights**: In addition to, and without limiting or affecting, any other rights granted to or conferred on a Receiver (whether under the Receiverships Act 1993, at law or otherwise), and subject to the specific terms of appointment of each Receiver, each Receiver has the right in respect of the Mortgaged Property and the Mortgagor's business to do anything (whether alone or with any other person) the Mortgagor could do as if the Receiver had full legal and beneficial ownership of the Mortgaged Property and carried on the Mortgagor's business for the Receiver's own benefit.

13.6 **Exercise of Receiver's rights**: Every Receiver will, to the fullest extent permitted by law, exercise its rights in compliance with any directions issued by the Mortgagee and otherwise on such terms and conditions as the Receiver requires.

13.7 **Withdrawal**: The Mortgagee may at any time give up possession of any of the Mortgaged Property or discontinue any receivership.

14. Protections

14.1 **Exercise of rights and waivers**: Time is of the essence in respect of all dates and times for compliance by the Mortgagor with its obligations under this document. However, no failure to exercise, and no delay in exercising, a right of the Mortgagee under a Transaction Document will operate as a waiver of that right, nor will a single or partial exercise of a right preclude another or further exercise of that right or the exercise of another right. No waiver by the Mortgagee of its rights under a Transaction Document is effective unless it is in writing signed by the Mortgagee.

14.2 **Notice, demand or lapse of time required by law**: If a notice, demand or lapse of time is required by law before the Mortgagee can exercise a right, power, discretion or remedy under a Transaction Document or applicable law, then for the purposes of this document:

(a) that notice, demand or lapse of time is dispensed with to the extent allowed by that law; or

(b) if not allowed to be dispensed with, but the period of notice, demand or lapse of time is allowed by that law to be shortened or fixed, it is shortened and fixed to one day (or, if a longer minimum period is required by law, to that period).

14.3 **Mortgagee, Receiver not restricted**: The Mortgagee or a Receiver need not:

(a) exercise a power, give a consent or make a decision under this document unless, a Transaction Document expressly provides otherwise; or

(b) resort to a Collateral Security or power before resorting to any other of them.

14.4 **Remedies cumulative**: The rights of the Mortgagee under the Transaction Documents are cumulative and not exclusive of any rights provided by law.

14.5 **No obligation**: Except to the extent otherwise provided by any rule of law (and then only if such rule of law is incapable of being excluded by contractual agreement), the Mortgagee, its agent, any Attorney and any Receiver shall not be:

(a) accountable for any proceeds of enforcement other than those proceeds actually received by it;

(b) obliged to enforce any of the Secured Obligations (or take any action or proceedings for enforcement) or make any enquiry as to the nature or sufficiency of any payment owing to the Mortgagor by any person;

(c) liable in respect of any loss or damage which results from, or is contributed to by, the exercise or attempted or purported exercise or the non-exercise by the Mortgagee or a Receiver of its rights under this document or conferred by law; or

(d) (in the case of the Mortgagee or its agent) liable to account as a mortgagee in possession in respect of any Mortgaged Property.

14.6 **Recovery**: In applying the proceeds of any sale or realisation of the whole or any part of the Mortgaged Property, the Mortgagee and any Receiver are obliged to account to the Mortgagor only in respect of so much of those proceeds as shall have been actually received in cleared funds as at the date of actual receipt of the same.

14.7 **Exclusion of legislation**

(a) Without prejudice to the generality of paragraph (c) below:

(i) the covenants, conditions and powers implied in mortgages of land by section 95 of the PLA do not apply to this document and are negatived (other than clauses 4, 7, 8(1), 9, 10, 14, 15, 16(1) and 17 of Part 1 of Schedule 2 of the PLA which continue to apply); and

(ii) the covenants, conditions and powers implied in mortgages of goods by section 96 of the PLA do not apply to this document and are negatived (other than clauses 6(1) and 7 of Part 2 of the Schedule 2 of the PLA which continue to apply).

(b) Subject to paragraph (c) below, the rights, powers and remedies provided in this document are in addition to, and not exclusive of, any rights, powers or remedies provided by law.

(c) If any provision in this document conflicts with the provisions of any law or any provisions implied by any law (after taking account of the implied covenants, conditions and powers negatived paragraph (a) above) then:

(i) if the provisions of or implied by that law may be varied or negatived, the Mortgagee will (in its sole discretion) determine which, in each case, and from time to time, will prevail; or

(ii) if the provisions of or implied by that law may not be varied or negatived, then the provisions of this document shall be read subject to the provisions of or implied by that law.

14.8 **No obligation to marshal**: The Mortgagee is not required to marshal, enforce or apply under:

(a) any Security Interest, guarantee or other entitlement held at any time by it; or

(b) any money or property that it at any time holds or is entitled to receive.

14.9 **Entry into possession**: Subject to any mandatory law, if the Mortgagee or a Receiver enters into possession of the Mortgaged Property:

(a) it shall not be liable to account as mortgagee in possession in respect of that Mortgaged Property or for any loss which a mortgagee in possession might otherwise be held liable for; and

(b) it may at any time give up possession of any Mortgaged Property.

14.10 **No liability**: Subject to any mandatory law, neither the Mortgagee nor any Receiver shall (in the absence of fraud, wilful misconduct or gross negligence on the part of the Mortgagee or, as the context requires, the Receiver (as applicable)) be accountable for any losses which may occur in, or as a result of, the exercise, purported exercise or non-exercise of any of the rights, powers or remedies of the Mortgagee or the Receiver, and any such losses which are borne by the Mortgagee or the Receiver shall form part of the Secured Moneys.

14.11 **Indemnity**: Each of the Mortgagee, every officer of the Mortgagee and each Receiver shall be entitled to be indemnified out of the revenue from, or proceeds of sale of, the Mortgaged Property against all costs, losses, expenses or liabilities sustained or incurred in the exercise, purported exercise or non-exercise of the Mortgagee's or the Receiver's rights, powers and remedies (except to the extent the liability arises as a result of fraud, wilful default or gross negligence on the part of the Mortgagee or, as the context requires, the Receiver), including any cost, loss, expense or liability consequent upon any mistake or error of judgment.

15. Attorney

15.1 **Appointment:** For the purpose of enabling the Mortgagee or the Receiver to obtain the full benefit of this document, the Mortgagor irrevocably appoints the Mortgagee, every officer of the Mortgagee and, as an independent appointment, appoints any Receiver (**Attorney**), individually, to be the attorney of the Mortgagor and at the Mortgagor's cost at any time:

(a) to do anything which the Mortgagor agrees to do under the provisions of this document or which, in the Attorney's opinion, is necessary to give effect to any right, power or remedy conferred on the Mortgagee or a Receiver by this document, by law or otherwise and which has not been done by the Mortgagor;

(b) at any time after the occurrence of any Event of Default and while it is continuing:

(i) to sign any transfer of, and to transfer, the Mortgaged Property to any person on a sale thereof;

(ii) to commence, prosecute, settle and compromise actions or proceedings relating to the Mortgaged Property;

(iii) better secure the Mortgaged Property to the Mortgagee in a manner consistent with this document;

(iv) execute any agreement, including any deed of assignment, composition or release in connection with the Mortgaged Property; and

(v) to exercise any other rights, powers or remedies which the Mortgagor may have as the holder, owner or beneficiary of any Mortgaged Property.

15.2 **Delegation and conflict**: Each Attorney may:

(a) delegate its powers (including this power of delegation) to any person for any period, and revoke a delegation; and

(b) exercise or concur in exercising the Attorney's powers even if the Attorney has a conflict of duty in doing so, or has a direct or personal interest in the means or result of that exercise of such powers.

15.3 **Ratification**: The Mortgagor hereby ratifies and confirms to each person dealing with the Mortgagee, a Receiver and each Attorney whatever the Mortgagee, a Receiver or that Attorney does in the exercise of any of the rights referred to in clause 15.1.

16. Protection of persons dealing with Mortgagee or Receiver

16.1 **Purchaser or other person**: No purchaser or other person dealing with the Mortgagee or a Receiver, or with any agent or attorney of the Mortgagee or a Receiver, shall be concerned:

(a) to enquire:

(i) whether any Security Interest created by this document has become enforceable;

(ii) whether a Receiver has been properly appointed;

(iii) whether the powers which the Mortgagee or a Receiver, agent or attorney, as the case may be, is exercising or purporting to exercise have become exercisable;

(iv) as to the necessity for, or the expediency of, the stipulations or conditions subject to which any sale or disposal is made or given;

(v) otherwise as to the propriety or regularity of any disposal, calling in, collection or conversion of any money or asset or any other matter in connection with the exercise of any of the powers of the Mortgagee or Receiver; or

(b) to see to the application of any amount paid to or received by the Mortgagee or a Receiver, agent or attorney, as the case may be.

16.2 **Damages only remedy**: The remedy of the Mortgagor in respect of any actionable impropriety or irregularity in the exercise, or purported exercise, of any rights, powers or remedies by the Mortgagee or a Receiver, agent or Attorney, as the case may be, shall be in damages only.

17. General security provisions

17.1 **Security continuing and independent**

(a) Each of this document and the Security Interest created under the Mortgage:

(i) is in addition to and enforceable independently of any other Security Interest (including any Collateral Security) or guarantee;

(ii) is a continuing Security Interest;

(iii) shall operate irrespective of any intervening payment, settlement of account or other matter or thing whatever; and

(iv) shall remain in full force and effect (whether or not at any given time the Mortgagor is indebted to the Mortgagee) until the execution by the Mortgagee and delivery to the Mortgagor of an unconditional release of this document.

(b) Nothing in this document shall discharge, abate or prejudice any other Security Interest (including any Collateral Security) at any time held by the Mortgagee.

17.2 **Collateral Securities**: This document is collateral to each other Security Interest (including any Collateral Security). This document and each other Security Interest (including any Collateral Security) will be read and construed together so that the Mortgagee may exercise any of its rights under any one or more of them separately or concurrently or not at all, and in such order as it chooses.

17.3 **Release**: The Mortgagor shall only be entitled to be released from its obligations and liabilities under this document or (except as provided for in clause 17.4) to have any Mortgaged Property released from this document or the Mortgage, if the Mortgagee is satisfied (in its sole discretion) that:

(a) NFL has satisfied all of its Delivery obligations under the Afforestation Deed;

(b) the whole of the Secured Money and Secured Obligations has been fully paid, satisfied and performed; and

(c) no payment received, or to be received, by the Mortgagee may be avoided, or required to be repaid by the Mortgagee, under any law relating to insolvency or otherwise.

17.4 **Release in connection with disposal**: If the Mortgagor is disposing of the Mortgaged Property (or any part thereof) and that disposal is a Permitted Disposal, that Secured Property shall, unless an Event of Default has occurred and is continuing, the Mortgagee shall, upon the written request of the Mortgagor, and at the cost of the Mortgagor, release this document and the Security Interest created under the Mortgage, or, in the case of a disposal of part of the Mortgaged Property, release the relevant part of the Mortgaged Property from the Security Interest created under the Mortgage.

17.5 **Reinstatement**: The Mortgagor agrees that, if a payment made, amount applied, or other transaction relating to the Secured Money or the Secured Obligations is void, voidable, unenforceable or defective for any reason or a related claim is upheld, conceded or settled (each an Avoidance), then, even though the Mortgagee knew or should have known of the Avoidance:

(a) the Mortgagor's liability under each the Mortgage and each other Transaction Document will be what it would have been, and will continue, as if the payment or transaction the subject of the Avoidance had not occurred; and

(b) the Mortgagor will immediately execute and do anything required by the Mortgagee to restore the Mortgagee to its position immediately before the Avoidance (including reinstating any Transaction Document).

This clause 17.5 survives any termination or full or partial discharge or release of this document or any other Transaction Document.

18. Application of proceeds

18.1 **Distribution**: All amounts received by the Mortgagee or a Receiver, whether in the exercise of their powers or otherwise, shall (subject to the claims of all secured and unsecured creditors (if any) ranking in priority to the Security Interest created by this document and the Mortgage) be applied:

(a) first, in payment of all costs, charges and expenses (including tax and legal costs as between solicitor and client and the remuneration of the Receiver (but subject to any direction of the court in relation to that remuneration)) of and incidental to the exercise of the powers of the Mortgagee or Receiver;

(b) secondly, in payment to the Mortgagee of the Secured Money in such manner and order as the Mortgagee determines; and

(c) lastly, in payment of any surplus to the Mortgagor or other person or persons entitled to it.

18.2 **Appropriation**: All amounts received by the Mortgagee under this document and the Mortgage shall be appropriated as between principal, interest and other amounts in such manner as the Mortgagee determines, notwithstanding any rule of law, any purported appropriation made by the Mortgage or any other person, or any other matter or circumstance.

18.3 **Money actually received**: In applying any money toward satisfaction of the Secured Money the Mortgagor will be credited only with the money available for that purpose which is actually received by the Mortgagee. The credit will date from the time of receipt.

18.4 **Contingent liabilities**: If any Secured Money is contingently owing or not yet owing at the time any application of money is made under clause 18.1, the Mortgagee may deposit a sum not exceeding that amount in an interest bearing deposit account, on such terms and conditions as the Mortgagee thinks fit, with any person (including the Mortgagee or any of its related entities), until that amount ceases to be contingently owing or becomes actually payable. At that time the Mortgagee may retain for its own account the amount which is then actually payable to it and deal with any balance in accordance with clause 18.1.

18.5 **Suspense Account**: Until the Secured Money has been paid in full, the Mortgagee may credit money received in or towards satisfaction of the Secured Money to a suspense account. The Mortgagee may keep the money in that account for as long as, and at whatever interest rate, the Mortgagee thinks fit. Subject to the terms of the Afforestation

Deed, the Mortgagee may apply the money (including interest) to reduce to Secured Money whenever the Mortgagee thinks fit.

19. Benefit and burden of this document

19.1 **Binding**: This document is binding on, and is for the benefit of, the parties and their respective successors, permitted assignees or transferees.

19.2 **The Mortgagor**: The Mortgagor may not assign, novate or transfer any of its rights or obligations under this document without the prior written consent of the Mortgagee.

19.3 **The Mortgagee**: The Mortgagee may assign and/or transfer all or part of its rights or obligations under this document to any one or more persons to whom it assigns or transfers any of its rights, benefits and obligations in respect of the Secured Money in accordance with the provisions of the Afforestation Deed.

20. Notices

20.1 **Addresses**: Any notice or other communication under this document is to be in writing and may be made by personal delivery, post or in electronic form (such as email) to the addressee at the address or email address, and marked for the attention of the person or office holder (if any), from time to time designated for the purpose by the addressee to the other party. The initial address and email address and relevant person or office holder of each party is set out below:

(a) **Mortgagor**:

Address: 395 Taumatatahi Road, R D 18, Wanganui 4588

Attention: Henry Matthews

Email: henry@settlershoney.co.nz

(b) **Vitol**:

Vitol Asia PTE. Ltd. (a company incorporated in Singapore, having its registered office at 260 Orchard Road, #15-02 The Heeren, Singapore 238855)
Attention: Legal team and Carbon team

Email: notices@vitol.com and carbonsingapore@vitol.com

20.2 **Deemed Delivery**: No communication under this document is effective until received. Communications are deemed to be received:

(a) in the case of a letter, on the third Business Day after posting, or in the case of a letter sent overseas on the seventh Business Day after posting; and

(b) in the case of a communication sent in electronic form, when the sender receives Confirmation on its server that the message has been transmitted:

(i) by 5.30 p.m. (in the place of receipt) on a Business Day – on that Business Day; or

(ii) after 5.30 p.m. (in the place of receipt) on a Business Day, or on a non-Business Day - on the Business Day after the date of despatch.

20.3 **Reliance**: Any notice sent under this clause 20 can be relied on by the recipient if the recipient reasonably believes the notice to be genuine and if it bears what appears to be the signature (original or facsimile) of an authorised officer of the sender (without the need for further enquiry or confirmation).

21. General

21.1 **Amendments**: No amendment to this document is effective unless it is in writing signed by all the parties.

21.2 **Partial invalidity**: The illegality, invalidity or unenforceability of a provision of this document under any law will not affect the legality, validity or enforceability of that provision under another law or the legality, validity or enforceability of another provision.

21.3 **Contract and Commercial Law Act 2017**: For the purposes of the Contract and Commercial Law Act 2017 each Receiver and each Attorney is entitled to enforce against the Mortgagor each provision of this document that confers a benefit on a Receiver or an Attorney (as the case may be). However, no Receiver or Attorney needs to consent to any amendment made to this document.

21.4 **Indemnities**: Each of the indemnity obligations of the Mortgagor under this document shall constitute a continuing obligation, separate and independent from the Mortgagor's other obligations under the Transaction Documents to which it is party and shall survive payment of the Secured Moneys and termination or release of this document.

21.5 **Disclosure of Information**: The Mortgagee may disclose, on a confidential basis, to a potential assignee, novatee, transferee or other person with whom contractual relations in connection with this document are contemplated, any information about the Mortgagor and/or any Mortgaged Property, whether or not that information was obtained in confidence and whether or not that information is publicly available.

21.6 **Waivers**

(a) Waiver of any right from a breach by the Mortgagor of this document or of any right or authority arising upon a default under this document or upon the occurrence of an Event of Default must be in writing and signed by the Mortgagee.

(b) A failure or delay in exercise, or partial exercise, of:

(i) a right arising from a breach of this document or the occurrence of an Event of Default; or

(ii) a right or authority created or arising upon default under this document or upon the occurrence of an Event of Default,

by the Mortgagee does not result in a waiver of that right or authority.

(c) The Mortgagor is not entitled to rely on a delay in the exercise or non-exercise of a right or authority by the Mortgagee arising from a breach of this document or on a default under this document or on the occurrence of an Event of Default as constituting a waiver of that right or authority.

(d) The Mortgagor may not rely on any conduct of the Mortgagee as a defence to exercise of a right or authority by the Mortgagee.

(e) This clause may not itself be waived except by writing.

21.7 **Trustee Limitation of Liability**: To the extent that the Mortgagor is entering to this Mortgage as trustee of the Trust (including, without limitation, if the Afforestation Deed specifies that the Mortgagor enters into this Mortgage as trustee of the Trust), John Cain and Melody June Wallace will have entered into this document as trustees of the Trust, acting in an independent capacity and having no interest in the assets of the Trust other than as trustee. John Cain and Melody June Wallace are each liable under this document only to the extent of the assets of the Trust available from time to time to meet their respective liability to which shall be added the sum (if any) by which the value has been diminished by his or her (as the case may be) own dishonesty or the wilful commission or omission by him or her (as the case may be) of an act known by him or her (as the case may be) to be a breach of trust. The limitation of John Cain's and Melody June Wallace's liability as set out in this clause applies notwithstanding anything else contained in this document or any other Transaction Document.

21.8 **Governing law**: This document will be governed by and construed in accordance with the laws of New Zealand.

21.9 **Jurisdiction**: Each of the parties irrevocably and unconditionally agrees that the courts of New Zealand will have jurisdiction to hear and determine each suit, action or proceeding which may arise out of or in connection with this document and for those purposes irrevocably submits to the exclusive jurisdiction of those courts.

21.10 **Acknowledgement**: By granting this Mortgage the Mortgagor acknowledges and agrees it has received a copy of each Transaction Document, including the Afforestation Deed.